

DRD pitch deck

PITCH — DRD — VERDICT

PROPOSED — PENDING ADJUDICATION — a 0.4–0.5%-of-book starter in DRDGOLD (NYSE: DRD) at market (~\$28.30–28.80), owned explicitly as a levered rand-gold operating call with a 3.7% dividend, **not** as ballast; the reject case survived only as one real leg (fiscal-2027 is a flat-to-down transition year at today's gold price).

What we believe

DRDGOLD reprocesses old South African mine tailings — it re-mines waste dumps rather than digging new rock. It has no debt, R2.77bn of cash, a 19-year unbroken dividend record, and is 50.1% owned by Sibanye-Stillwater. It is unhedged, so its earnings are a geared bet on the gold price expressed in rand.

Three things we think are true:

- 1. The company is spending R10bn to get about 20% bigger, and that spending is nearly paid for.** Management's "Vision 2028" target is roughly 200,000 ounces a year by 2029, up from 160–170koz guided for fiscal 2027, funded entirely out of cash flow with no borrowing and no share issuance. If we value the finished business at today's gold price (\$4,459/oz, rand at 16.13–16.16) using the company's own guided cost of R1,230,000/kg, a 28% tax rate and a 10x earnings multiple, we get roughly **\$36.60 per ADR against a tape near \$28.50 — about +27%**. Push gold to \$5,000 and it is ~\$45.60. A +50% outcome needs gold at about \$4,850, not a new all-time record.
- 2. The next twelve months are the weak part, and that is what the price is telling us.** Company guidance for fiscal 2027 has costs rising ~14% against production rising 3–10%. At today's gold price, margin is roughly flat to down ~4%. We are being asked to sit through a transition year to get the volume.
- 3. We are paid to wait.** Roughly R1bn a year of dividends is about a 3.7% yield (\$1.06/ADR), which is roughly 11% cumulative over the build period, with no leverage underneath it.

Put simply: this is a fairly-to-modestly-cheaply-priced, debt-free, cash-generative miner mid-way through a self-funded expansion, where the near-term year is flat and the medium-term prize is real. That is a starter, not a thesis-sized bet.

What the market believes

Very little, and by very few people. Two analysts cover it. The rating is Buy; H.C. Wainwright raised its price target to \$35 from \$33 after the fiscal-2026 print. That target, backed out at a constant multiple, implies gold at roughly \$5,111/oz — so even the published bull target is really a gold forecast dressed as a company forecast.

The tape says: the stock is 27% below its 52-week high (~\$39) and roughly 19% above its August low (~\$24.16 close on 8/13 versus ~\$28.77 on 8/28). Gold in rand terms is about 18% off its January 2026 peak. So the market has marked the stock down roughly 1.5x the fall in the commodity it is geared to — which, for a business with roughly 2.1x margin gearing and net cash worth ~7% of the market value, is *less* than a pure no-growth gearing model would predict. The gap is the market giving partial credit to the volume expansion.

The market also believes, correctly, that Sibanye controls this company. There is no takeover premium available here. Sibanye has taken R955m of dividends out over two years.

Why we might have edge

- **It is nearly uncovered.** Two analysts on a \$2.4bn-equivalent company. Our own historical bias on orphan names has been to value them roughly 13% too conservatively — which cuts in favour of owning, not against.
- **The published error on this name has been persistently in one direction: too low.** The last cycle's sell-side estimate was \$1.42 against an actual of roughly \$3.04 per ADR. The models under-weight the rand gold price. That is a real, repeated, documented modelling failure by the people setting the visible price target.
- **We modelled the finished business, not the current year.** Our own red team did not: it labelled a row “post-expansion steady state” and then plugged the *current* year's guided volume into it. That mistake makes “there is nothing to buy” arithmetically automatic. Correcting the volume to the company's own disclosed 2029 target moved fair value from \$28.80 to \$36.60 and moved the “+50%” gold price from \$5,550 to \$4,850. If the sell-side is doing the same thing — valuing 166koz and calling it terminal — that is the edge.
- **We separated the wrapper from the risk.** The name reached us through a screen for “crash convexity” from gold *royalty* companies. It is not that. Royalties have no cost line; DRD passes through 14% cost inflation. Recognising that we were about to buy the wrong instrument for the intended job, and then buying it anyway in a *different*, correctly-labelled sleeve at a smaller size, is where a lot of the value in this process actually sits.

Why it might be priced in

Honestly: quite possibly.

- **The single strongest fact against us was derived independently by both teams and neither could break it.** For fiscal-2027 margin to be flat against fiscal-2026, gold needs to be about **\$4,576/oz at a 16.13 rand**. Spot is \$4,459–4,507. We are 1.5–2.6% *below* the level at which the company merely stands still. There is no clever framing that removes this; the year ahead is down at today's prices.
- **The stock has already run about 19% in three weeks** off its August low on the fiscal-2026 results. We would be buying strength, not weakness.

- **Every upside path in our own table is a gold price forecast.** At \$4,000 gold the corrected table says ~\$29 — i.e. today's price. At spot it says \$36.60. The whole spread between “fair” and “cheap” is gold going up. We do not have an edge on the gold price, and we should not pretend the volume story is doing the work when the sensitivity table says gold is.
- **The expansion is not fully de-risked.** The Withok tailings facility (R3.0bn of the R10bn) does not have its approvals; the company targets December 2026, and the project already slipped to 2029 on seepage geology. The Regional tailings facility is 67% complete.
- **Control is sold.** Capital allocation on R10bn of spending is decided by a 50.1% holder with its own balance sheet needs. That cuts both ways — Sibanye taking large dividends aligns it with us on payout — but we are passengers.

What could go wrong

Failure narrative 1 — the boring one, and the most likely: gold goes sideways or down and the transition year prints exactly as guided. Costs rise 14%, volume rises 5%, margin falls, the dividend is held rather than grown, and the stock drifts back toward the \$24–26 area where it was three weeks ago. We lose 10–15% and learn nothing, because the thesis was never wrong — it was just a gold call we entered 2% below the break-even gold price. *Tripwire exists*: gold below \$4,576/oz at rand 16.13, and the Q1 update.

Failure narrative 2 — the expansion arrives late, expensive, or diluted in unit terms. Our entire +27% rests on 200koz by 2029 at a cost per kilogram not much above today's. That is a *unit-cost dilution* assumption — more tonnes through the same plant lowering cost per ounce — and neither bench verified it. If Withok's approvals slip past December 2026, or if the grade in the remaining dumps falls (this is a business that literally consumes its own resource base — the risk here is Ergo's deposition capacity and life-of-mine, not the dividend), the 6,220kg terminal number is wrong and the correct fair value is closer to red's \$28.80. Note the direction is not all bad: a delay pushes spending right and *raises* near-term free cash flow and the dividend. *Tripwire exists but we cannot currently read it*: South African permit records (Ekurhuleni/Merafong municipal, water-use licence) are a connector we do not have, and our satellite tooling for this company is broken — see below.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. A physical or sovereign event at the asset base. A tailings dam failure, a fatal incident and Section 54 stoppage, a water-licence revocation, an electricity or water supply failure in Gauteng, a community or labour blockade, or a rand/regulatory shock specific to South African mining. Any of these can take 30–60% off this equity in a day, from a standing start, with no advance signal we are positioned to read. We have no South African permit connector, no plant-level monitoring, and our satellite entity resolution for this company is actively wrong (see the self-check table). **Unknown-unknown class: low-frequency, high-severity physical-and-jurisdictional tail risk on a single-country asset base, where the loss arrives before any disclosure does.** We are not hedged against it and we cannot be, at this size, for a sensible cost. The only defence is size.

The reflexive and structural leg — how our own behaviour and our own rules hurt us here:

- **Size versus liquidity: unknown, and that is a defect.** The IBKR contract lookup was permission-denied three separate times across both benches, so **we have no verified average daily volume for this name**. DRD's ADR is normally liquid, but "normally" is not a measurement. A 0.4–0.5% starter is almost certainly a trivial fraction of a day's volume; we are stating that as a belief, not a fact, and it must be measured before any second tranche.
- **We were about to bid into our own forecast.** The original brief proposed accumulating at \$23–25. Our own sensitivity table says that at \$4,000 gold — the only realistic way the stock reaches \$23–25 — fair value is \$22.50–29. So the limit order fills precisely when the thing we would be buying is worth less than the limit. We are deliberately **not** working that band. Buying at market and small is the honest expression; a low limit is a way of pretending we have downside protection we do not have.
- **Doctrine interactions.** (a) This name arrived via a screen with a *count* target ("nine survivors"), and count targets bend selection toward filling the slot — DRD may be in front of us because a number needed reaching. (b) It nearly entered the wrong sleeve; if it had been booked as ballast it would have been sized 2–3x larger and would have failed in a correlated way with the rest of the ballast. (c) It is a US-taxable long with South African dividend withholding, so the 3.7% coupon is not 3.7% to us after tax and the holding-period clock matters for any trim. (d) If we later add index or gold-beta exposure elsewhere, this position is *already* gold beta and must be netted, not stacked.
- **Our own bench dynamics are a risk.** The red team produced four "novel" kills; two were overturned on factual inputs, one on a rounding artifact, one was its own valuation restated. If we had accepted the reject at face value we would have passed on a name for reasons that were arithmetically wrong. The symmetric worry is that this deck is the *over*-correction — the blue team's winning table uses the red team's own unverified cost and share-count inputs and was never independently checked against the audited accounts, because the SEC site was serving a maintenance page.

If this position loses money, the most likely reason will be that we bought a gold price forecast while telling ourselves we were buying a volume expansion — the ounces arrive on schedule, the costs come in as guided, and the stock still falls because gold did not go above \$4,576.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Gold price needed for flat fiscal-2027 margin	Both teams computed independently from company guidance (160–170koz, cost R1,230,000/kg) at rand 16.13–16.16	\$4,568–4,576/oz; spot \$4,459–4,507, i.e. 1.5–2.6% below	YES — the one leg neither team could break

Claim	How checked	Found	Confirmed?
Value of the finished business at today's gold price	Rebuilt the table using the company's disclosed 2029 target (~200koz / 6,220kg) instead of the current guide	~\$36.60/ADR (+27%); +50% at ~\$4,850 gold	Partially — arithmetic checked, but the terminal cost assumption is not verified
OUR RED TEAM ERRED: “the finished business is worth today's price”	Read its own row label against its own input	It plugged 5,150kg (the fiscal-2027 guide midpoint) into a row labelled “post-Vision-2028 steady state.” The conclusion was circular by construction	NO — refuted, and this inverted the verdict
OUR RED TEAM ERRED: “the equity absorbed only half the rand-gold fall”	Checked the exchange rate it bracketed as unverified	It assumed 15.72→17.2 rand at the January gold peak; actual was ~15.72. Rand gold is –18.3% off peak, not –25%; the ratio is 1.48x, not 1.08x	NO — refuted. The error ran in the direction of its own conclusion
OUR RED TEAM ERRED: “the stock has run +27%, worse than thought”	Compared like with like	It compared a 7-day average share price in rand to a spot ADR price at today's exchange rate. Close-to-close is +19%	NO — measurement artifact. Direction survives; magnitude does not
OUR RED TEAM ERRED: management said different numbers on the call than in the filings	Read all three instances	“About R1.2m/kg” vs R1,230,000 and “just above R1 million” vs R1,099,000 are accurate spoken rounding; “7% vs 8%” compares a segment to the group	NO — false positive. Our consistency detector needs a ±3% tolerance band before flagging spoken numbers
OUR RED TEAM ERRED: consensus is “Hold, PT \$35”	Re-read the source	Rating is Buy ; the target was <i>raised</i> to \$35 from \$33	NO
OUR RED TEAM PROPOSED A NEW DETECTOR (insiders granted zero-price shares priced off a window just before a good result)	Checked the prior year's grant	Prior year's award was struck on a 7-day average to 13 August 2025 ; this year's to 12 August 2026 . It is a fixed annual remuneration calendar, not opportunism	NO — withdrawn before it could produce false alarms elsewhere
OUR BLUE TEAM ERRED / CONCEDED: its winning valuation	Its own disclosure	It used the red team's cost, cash and share-count figures without independently reading the audited accounts — the SEC site was down. Even inflating costs 6%/year to 2029 it still gets \$31.80 (+10%), so the direction is robust; the precision is not	Direction yes; inputs NOT independently verified
POSSIBLE DOUBLE-COUNT, UNRESOLVED	Blue team raised, neither resolved	“All-in sustaining cost” already includes sustaining capital. If the red table also deducted 2029 growth capital on top, that is roughly \$6.70/ADR of double-penalty	NO — unverified, and it favours us, so treat it as unproven
Withok expansion project has approvals	Trade press and company slides	It does not . Approvals targeted December 2026; project already slipped to 2029 on seepage geology; this was public in July 2026, i.e. before the current capital guidance was set	YES — confirmed, but already embedded in guidance

Claim	How checked	Found	Confirmed?
This is a royalty-like ballast asset	Compared to the screen that generated it	It is not. Full cost pass-through, +14% guided cost inflation, R3.0bn capital against R2.27bn free cash flow	YES — confirmed. Wrong sleeve; re-labelled
Our satellite tools can watch the expansion	Attempted dispatch	Broken. The tailings facility was geocoded to a “Gauteng, South Africa” centroid ~50km from the actual site; Withok has no facility record at all. Five consumer-behaviour detectors and three clinical-trial detectors were dispatched at a South African gold miner	NO — desk defect, reported as such
Position size versus daily trading volume	IBKR contract lookup	Permission-denied three times. No verified volume figure exists for this name	NO — coverage gap

PROPOSED ENTRY BANDS

All levels are from the benches’ own arithmetic, stated in ADR terms. Tape reference: **\$28.29** (evidence pack, IBKR gateway) versus **\$28.77** (8/28 close, stockanalysis) — a 1.7% disagreement we could not resolve because the gateway lookup was denied. Treat anything inside \$28.20–28.85 as “at market.”

Entry — immediate, at market: - Buy 0.40–0.50% of book at market, ~\$28.30–28.80. No limit games. The starter is sized to survive failure narrative 3 (the untripped physical/sovereign tail), not to express conviction. - Booked to the **commodity-beta / edge sleeve, labelled “levered rand-gold operating call.”** Explicitly **not** the royalty-ballast sleeve. If a sleeve label is unavailable, do not put the trade on — the label is the risk control. - **We are deliberately NOT working the \$23–25 accumulation band** proposed in the original brief. Our own table says fair value at the gold price required to reach \$23–25 is \$22.50–29.00, so that order fills only into a real impairment. A resting bid there would be an accidental bet that nothing happens.

Add — gated, not automatic. Second tranche of 0.3–0.4% on EITHER: - The Q1 fiscal-2027 operating update showing **all-in sustaining cost at or below R1,150,000/kg** (a beat on the R1,230,000 guide, not a meet) **with volume at the top of the 160–170koz range; OR - Rand weaker than 17.0 per dollar with gold flat at or above \$4,459, or gold sustained above \$4,576/oz at rand 16.13+** — either restores real margin growth and un-fails the one surviving kill.

Add — opportunistic: - Below \$22.50, add 0.3% *only if* the fall is explained by the gold price rather than by an operating or jurisdictional event. That is the fair value of the *pessimistic* build assumption at \$4,000 gold; below it we are paid for the execution risk. A fall to that level on a site incident is a stop, not an add.

Trim / exit: - Trim half above \$45.00. That is the corrected table’s value at \$5,000 gold; above it we are being paid for a gold price we have no view on, and the position becomes a gold bet we did not underwrite. - **Exit on thesis break:** Q1 or interim results showing all-in sustaining cost **above R1,300,000/kg**, or volume **below 160koz**, or the 2029 200koz target withdrawn/reduced. Any of these kills the volume leg, which is the entire difference between \$28.80 and \$36.60. - **Exit on control**

event: a Sibanye sell-down announcement (supply overhang, no offsetting premium). A Sibanye buy-in of the minority at a premium is the opposite and would be a hold-through. - Tax note: any trim inside twelve months is short-term. Prefer trimming into strength after the one-year mark unless a thesis break forces it.

Catalyst dates: - ~October–November 2026 (UNCONFIRMED — no company announcement names a date): Q1 fiscal-2027 operating update. This is the add gate. - **December 2026 (company target, not a granted date):** Withok tailings facility approvals. - ~17 February 2027 (UNCONFIRMED — this date is derived from a data vendor, not from the company): interim results. - Continuous: gold spot versus \$4,576/oz, and USD/ZAR versus 16.13.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 22.5 (deck-provisional: DRD ADR — fair value on the pessimistic (unbuilt-volume) table at \$4,000/oz gold; add 0.3% ONLY if the)
- filing watch: 6-K until 2027-02-27 (deck-provisional: Q1 FY2027 operating update — add gate: AISC $\leq$ R1,150,000/kg with volume at top of 160-170koz; exit gat)
- dated pack DRD|2026-10-31: DRD: Q1 FY2027 operating update (window ~Oct-Nov 2026) — the add/exit gate (date confirmed=False)
- dated pack DRD|2026-12-31: DRD: Withok TSF approvals — company target date, not a granted date (date confirmed=False)
- dated pack DRD|2027-02-17: DRD: H1 FY2027 interim results — vendor-derived date, no company PR names it (date confirmed=False)

What remains unverified

- **The audited fiscal-2026 accounts were never independently re-read** by the second bench (the SEC site served a maintenance page). Share count (867,397,699), cash (R2,770.0m) and the zero-debt claim come from a single read.
- **The terminal cost assumption.** The valuation assumes cost per kilogram near today's R1,230,000 at 2029 volumes — a unit-cost-dilution assumption that no one has checked against the company's own project economics. At 6%/year cost inflation the upside compresses from +27% to +10%.
- **Whether growth capital was double-deducted** in the pessimistic table (worth roughly \$6.70/ADR). Unresolved, and it happens to favour us, so we assume it was not.
- **Ergo's deposition capacity and remaining life of mine** — flagged by the second bench as the real risk in place of the dividend risk, and not modelled by either.
- **Trading volume, and therefore whether any size beyond a starter is executable.**

- **Both catalyst dates.** Neither the October–November update nor the February 2027 interim is confirmed by a company announcement.
- **The exact tape.** Two sources, 1.7% apart, unreconciled.
- **The 52-week range.** Pack says \$18.51–39.01; the second bench superseded it to \$17.60–39.37. Not reconciled.
- **The physical assets have never been observed by us** — no imagery, no thermal, no permit record. Everything in this deck about the expansion is the company's own account of itself, cross-checked only against trade press.

Primary sources: [DRDGOLD 6-K, 27 Aug 2026 — insider share awards, accession 0001628280-26-059228](#) · [DRDGOLD FY2026 6-K index and audited financials, 19 Aug 2026](#) · [Q4 FY2026 trading statement, 13 Aug 2026](#)

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